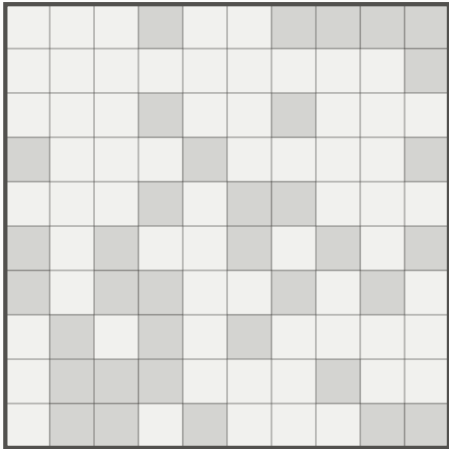


How the factor model summarizes the trade data

one month of trade

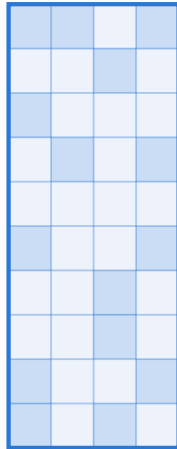
30 exporters x 30 importers



900 numbers

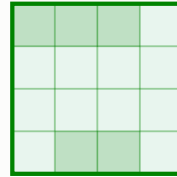
who exports alike

30 countries, 4 export groups



changes slowly

×



dollars between groups

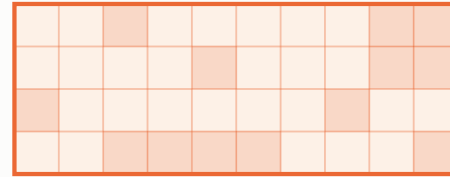
4 x 4: export group to import group

changes every month

×

who imports alike

4 import groups over 30 countries



changes slowly

Every month, 900 country-to-country flows are compressed into: groups of exporters that move together, groups of importers, and a small table of dollars between the groups. The groups are the slow structure of the network -- when they shift, the model marks a break. The small table is the fast part: its cells are the trade channels, and three of them carry the AI boom.